

The Stealth Round

Analysing unannounced
equity investments in the UK
funding market

2021

Beauhurst



Key findings

- 1.** 68% of equity deals are not announced to the public
- 2.** 30p in every £1 invested in UK companies is kept under wraps
- 3.** 76% of deals under £500k are unannounced, compared with 13% of investments over £10m
- 4.** Seed-stage startups are the least likely to announce their funding rounds
- 5.** Unannounced rounds are more likely to be flat or down rounds than those that are announced
- 6.** Fundraisings are more likely to be unannounced by companies based in the South of England than in the North
- 7.** Unlike almost every other sector, deals secured by Challenger Banks are more likely to be announced than not

Introduction: Stealth startup or IPO-ready?

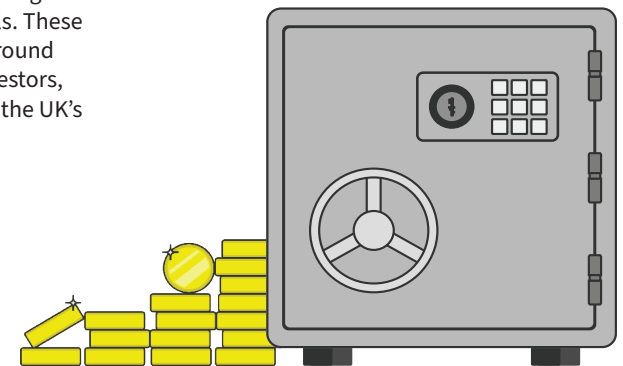
An unannounced fundraising is an investment completed without any press coverage or statement from the recipient company or participating funds. A company may choose to announce a deal for marketing purposes, raising brand awareness to bring in more customers and new talent, or to attract investors ahead of their next fundraising. Yet almost 70% of all equity deals are still kept quiet.

There are numerous reasons why a business may decide not to disclose fresh funding: the company could be operating in 'stealth mode' and so wants to stay under the radar; the round could be a precursor to a more significant event that they don't want to hint at, such as an IPO; the company is hiding a down round—a deal in which shares are sold at a lower price than before; or they just simply don't see it as being newsworthy or relevant.

But with early-stage startups lacking the sophisticated PR departments that bigger companies have, it's often the most exciting ventures that don't announce their deals. These businesses also tend to attract smaller round sizes, backed by publicity-shy angel investors, one of the most active investor types in the UK's high-growth economy.

With such a large proportion of equity deals going unannounced, it's not surprising that 40% of UK startups and scaleups have raised a silent round. And this includes some of the most valuable companies in the country, as 58% of active UK unicorns (private companies worth over \$1b) have secured an unannounced deal—and for 1 in 3 of them, their very first equity raise was not announced.

These unannounced fundraisings, also known as 'stealth rounds', are integral to understanding the UK's high-growth ecosystem. In this report, we'll explore the key characteristics of these unannounced rounds, and compare them to deals shared with the public. Plus, we'll take a closer look at four innovative UK businesses that have never announced their deals to the public.



Methodology and key terms

Methodology

Data for this report was finalised on 15 September 2021. To be included in our analysis, any investment must be:

- Some form of equity investment
- Secured by a non-listed UK company
- Issued between 1 January 2011 and 31 December 2020

ANNOUNCED AND UNANNOUNCED FUNDRAISINGS

An unannounced fundraising is an investment made into a private company that is completed without press coverage or a statement from the recipient company or funds that made the investment. As we'll see throughout this report, these transactions are an integral part of the UK's high-growth economy.

Beahurst is the only data provider to have comprehensive and structured coverage of unannounced deals in the UK. These are simply investments that are not announced to the public.

Using Beahurst's proprietary technology, we monitor all SH01s (forms submitted when businesses issue new shares) filed to Companies House. Sometimes, these filings may not show genuine investment, as with the exercise of employee options, restructuring shares to make cap tables tidier or companies paying for services in shares instead of cash. Our algorithm sorts through this minefield, flagging filings that indicate a genuine investment. Our in-house Data team then investigates and verifies if a new investment has been made.

Unannounced rounds are subject to a time lag because filings don't have to be submitted immediately. For this reason, we normally exclude unannounced deals from any temporal analyses. In this case, where unannounced deals are the subject of our analysis, we've set the upper bound of the deal date to the end of 2020, to reduce the effect of this lag. Any 2021 filings for deals that were made before the start of the year will still be included.

Key terms

EQUITY FUNDRAISING

Equity fundraising refers to the issuance and sale of new shares by a company and not merely the sale of existing shares. This is because new shares fund the growth and development of a company, while selling existing shares usually results in money flowing to the shareholders.

COMPANY STAGE OF EVOLUTION

We categorise companies into seven stages of evolution (Seed, Venture, Growth, Established, Zombie, Exited, Dead), using over 40 proprietary criteria, and taking a balanced view with each decision. You can read more about these stages, and typical company characteristics in each one, [here](#).

VALUATIONS

An equity raise with a pre-money valuation that is at least 5% lower than the recipient company's previous post-money valuation is classed as a 'down round'. At least 5% higher is classed as an 'up round'. And between 5% lower and 5% higher is classed as a 'flat round'.

COMPANY SECTOR

We tag companies with as many sectors from our proprietary sector matrix as appropriate.

Key trends

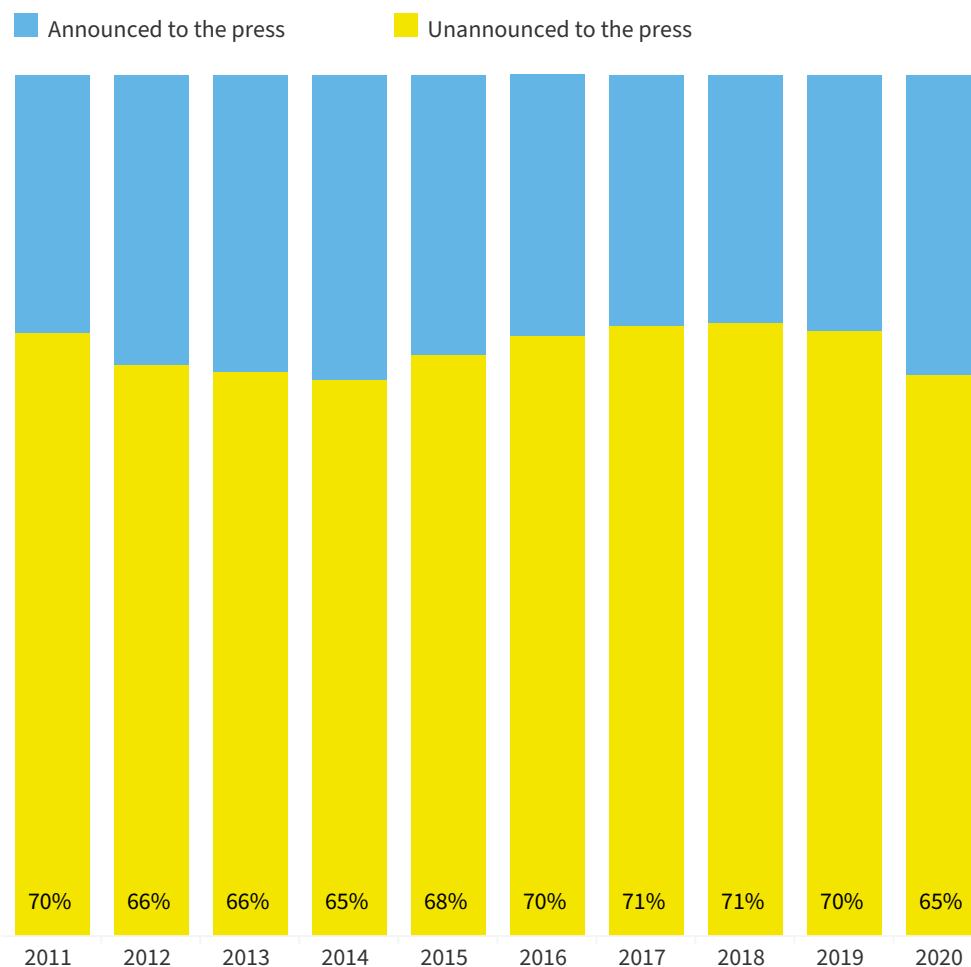
Unannounced pounds fall, as megadeals rise

Despite drastic changes in the volume and value of equity deals completed since 2011, the proportion that go unannounced has remained consistent. On average, unannounced deals make up 68% of total deals, ranging from a low of 65% to a high of 71%. That equates to 32.9k unannounced deals since 2011, compared with 15.2k that were announced.

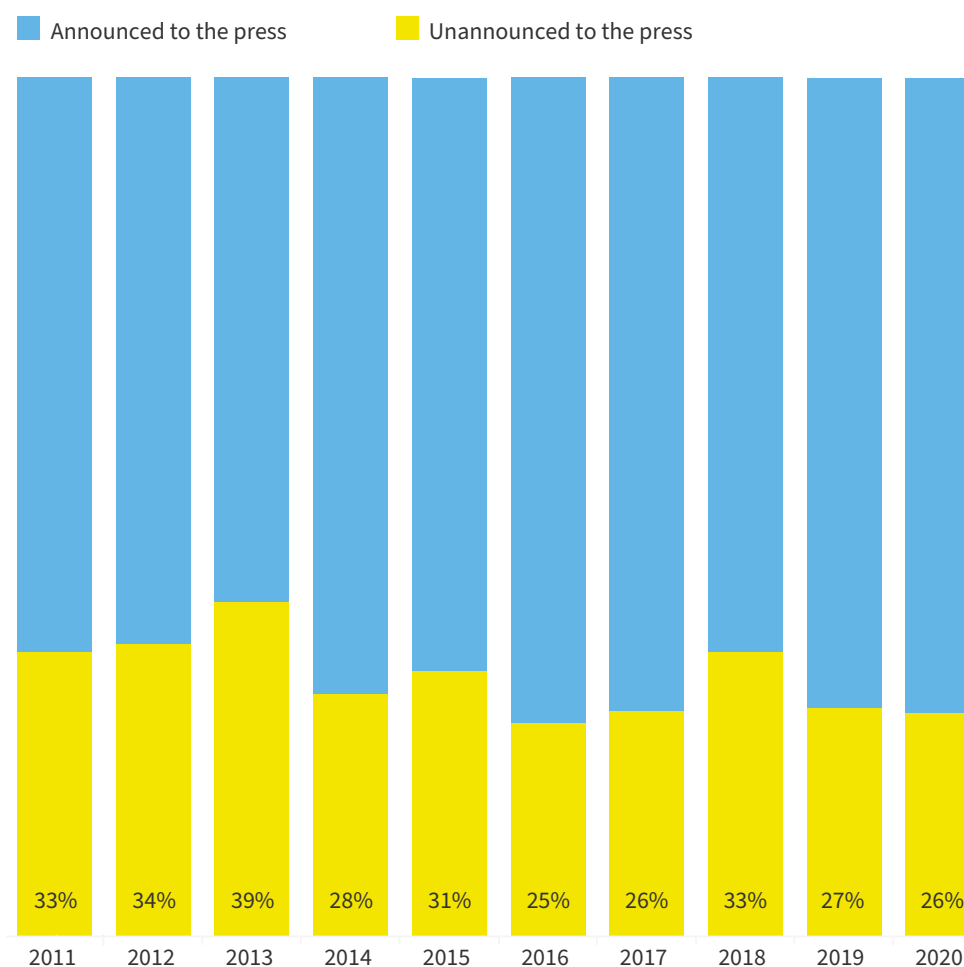
Meanwhile, the proportion of pounds invested that go unannounced is far lower. Between 2011 and 2020, just 30p in every £1 invested into UK companies was unannounced. Year to year, this figure is also more changeable than the proportion of deals that go unannounced, peaking in 2013 (at 39%) and dropping in 2016 (to 25%).

Overall, there's a gentle downward trend in the proportion of pounds invested that go unannounced, from 33% in 2011 to 26% in 2020. This is no doubt due to the rise of megadeals (worth £50m+), which are far more likely to be announced. In fact, 45 megadeals were secured in 2020 (versus just five in 2011), 93% of which were announced.

Proportion of deals, by volume, that are announced to the press (2011 – 2020)



Proportion of deals, by value, that are announced to the press (2011 – 2020)



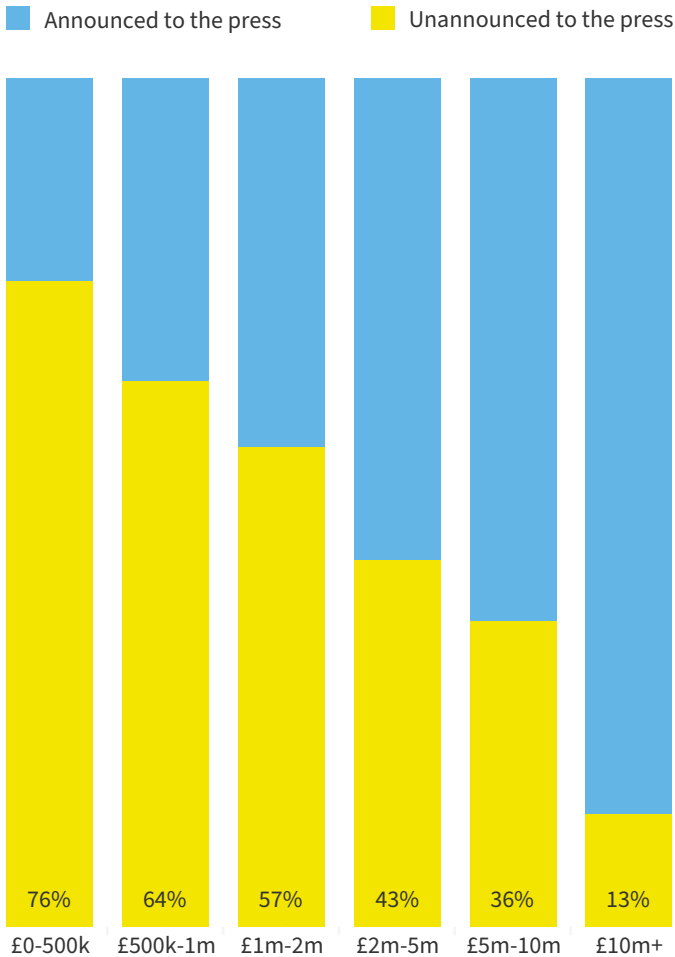
Key trends

The bigger the round, the more likely it is to be announced

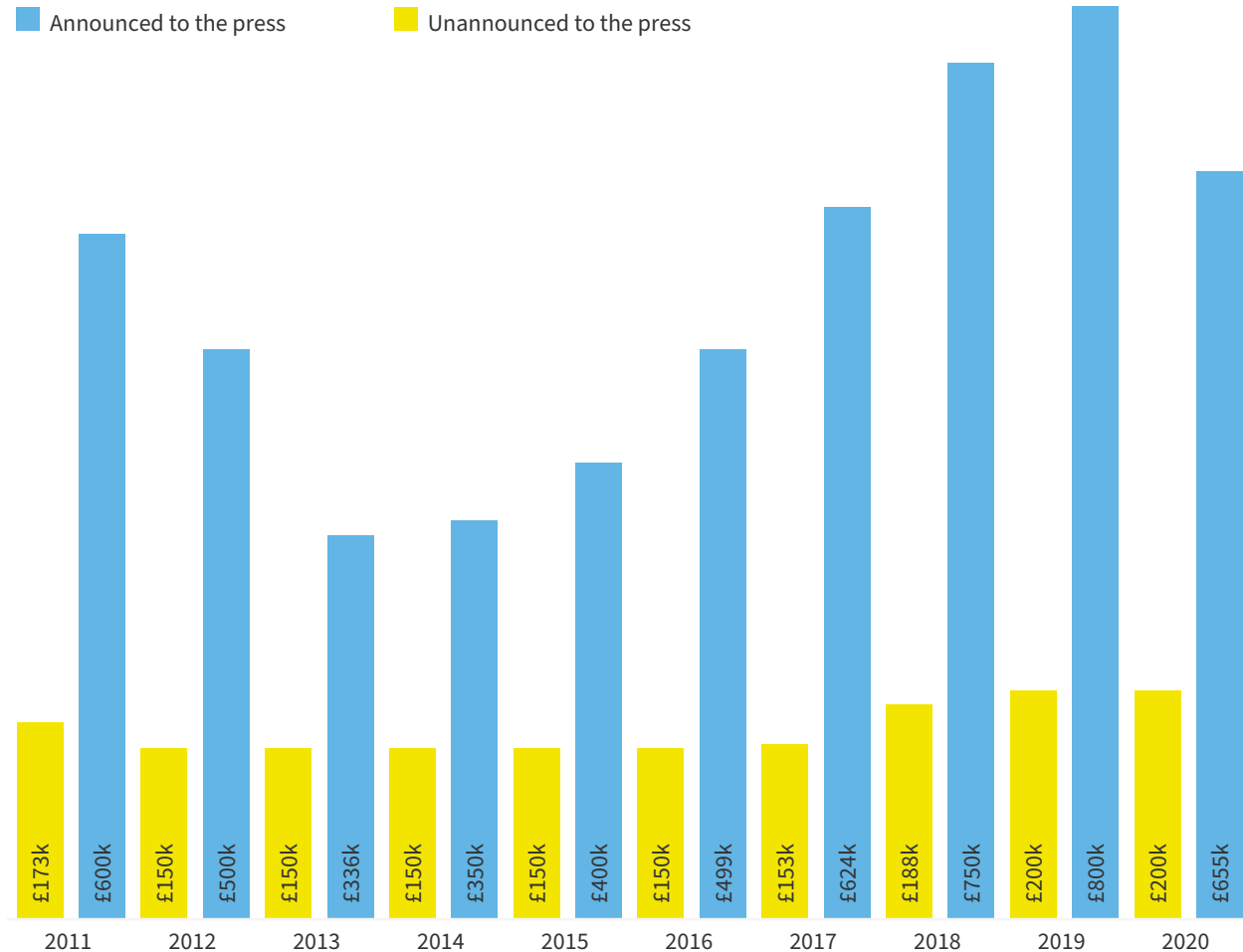
Indeed, round size seems to have a huge impact on whether a deal is announced to the public or not. Over the last decade, 76% of deals under £500k have gone unannounced, compared to just 13% of investments over £10m.

And whilst median deal size for announced rounds has risen pretty steadily, to a high of £800k in 2019, for unannounced deals, this figure is consistently low, between £150k and £200k.

Number of seed-stage equity deals by round number (2011–2020)



Proportion of seed-stage equity deals by round number (2011–2020)



Every round counts

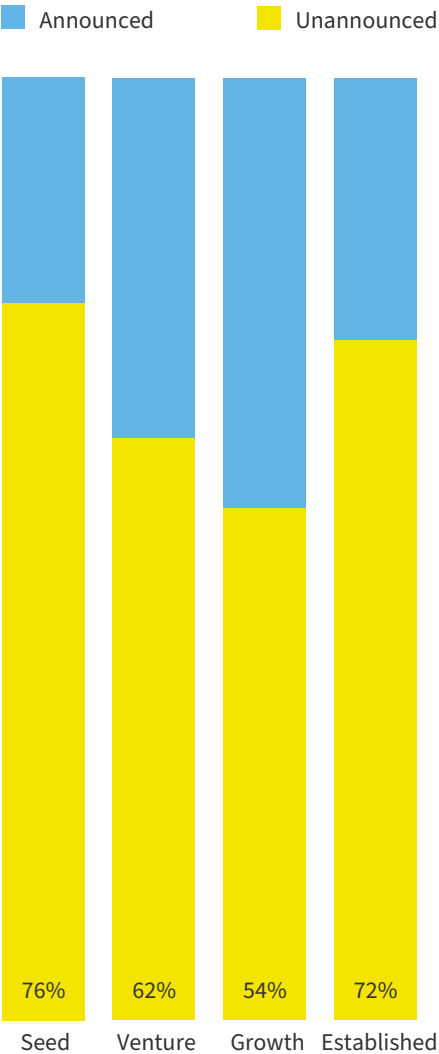
As expected, a relatively large proportion (76%) of fundraisings secured by seed-stage startups go unannounced. Still early on in their growth journeys, these businesses may not yet have the means or desire to announce their investment rounds, or may still be operating in ‘stealth mode’ while they focus on research and product development.

Whereas, for venture and growth-stage companies, the proportion of deals that go unannounced stands at 62% and 54%, respectively. They’re more likely to announce new fundraisings as they gain more traction, stakeholders, and media attention.

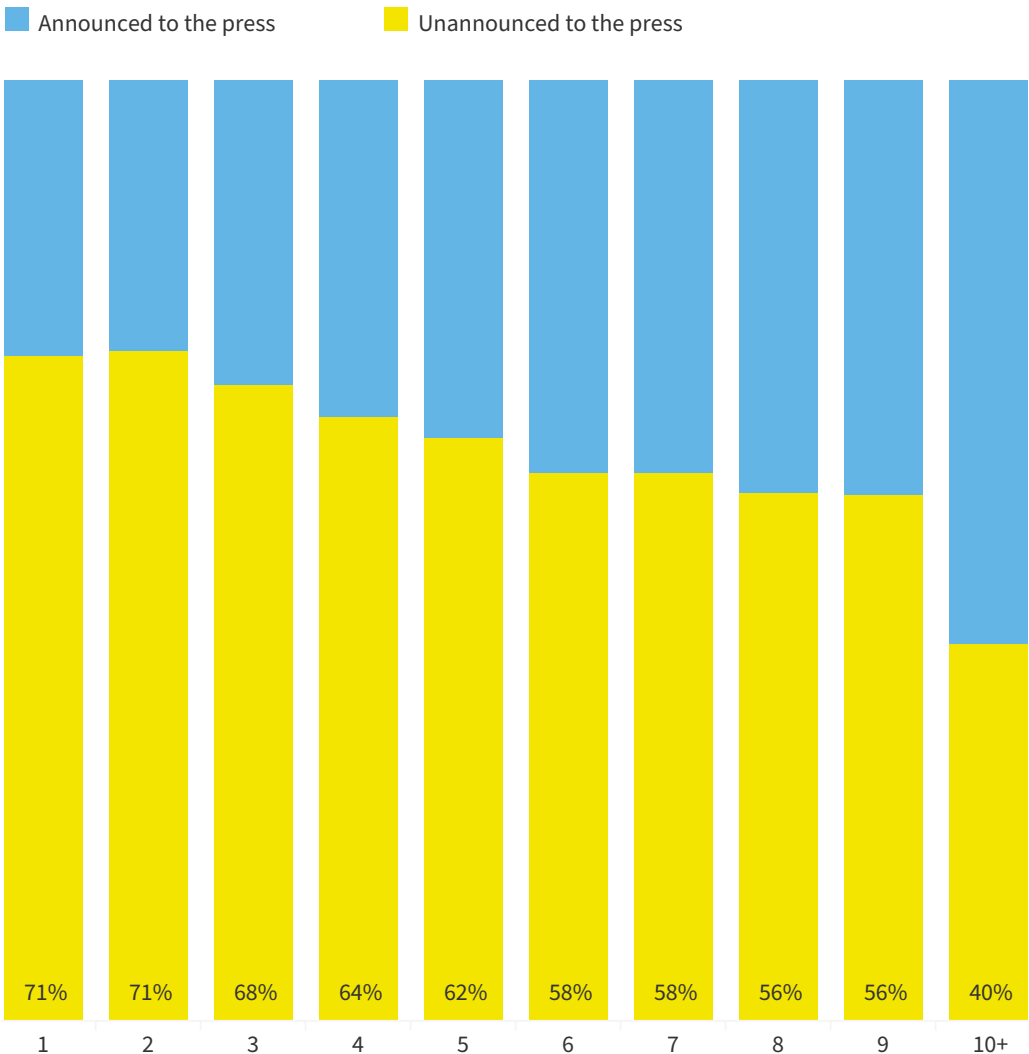
Interestingly, established companies buck this trend, with 72% of their deals going unannounced—whilst these businesses tend to have been around for many years, they may have only recently secured their first round of equity investment (unlike earlier-stage companies that are likely to have been venture-backed from a young age).

First and second-time fundraisings are much more likely to go unannounced than later rounds, at 71% of deals—compared to 62% by round five, and just 46% by the tenth funding round. This suggests that companies may hold off on announcing deals until they’ve proven their worth and have had a chance to put the new capital into effect.

Proportion of announced deals by company stage of evolution at deal date



Proportion of announced deals by ordinal number of the fundraising



Key trends

A North–South Divide

Fundraisings are less likely to be announced in the South than in the North of England, at 76% of deals in the South East and 75% of deals in the South West—compared with 49% in the North East (the only region where more than 50% of rounds are announced) and 65% in the North West. Companies in Scotland (53%), Wales (54%), and Northern

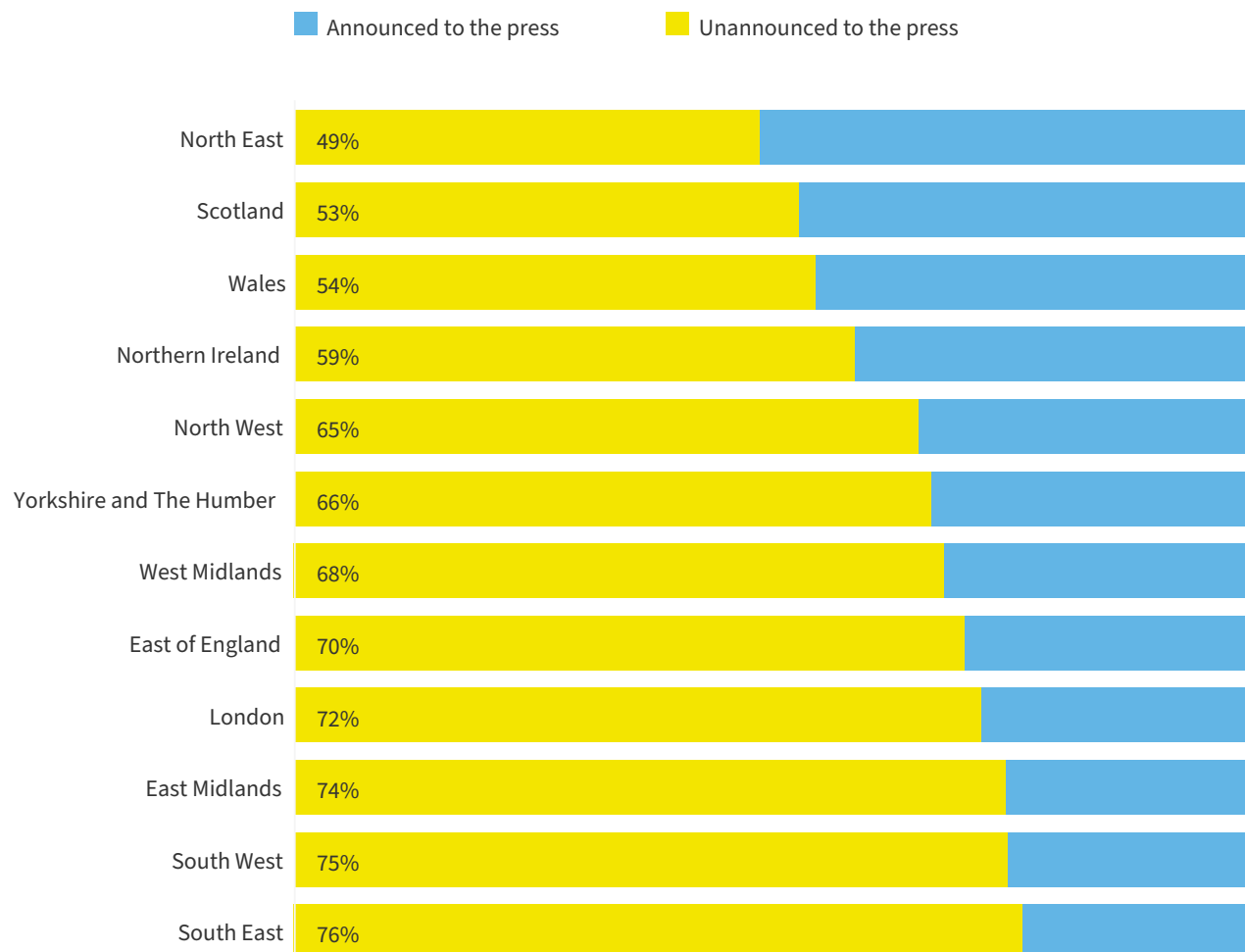
Ireland (59%) are also more like to announce rounds.

Funding availability may be a factor here—the South receives a disproportionately large amount of the equity rounds completed in the UK. Companies may be more inclined to announce

investment in areas where it's less common. Funding to the North also has a bigger impact on the local economy, and is hence more newsworthy.

There are also several public funds with a focus on the North of England and the devolved nations, which have an obligation to announce their deals.

Proportion of announced deals by company location



The North East

Is the only UK region to see more deals announced to the press than those that are unannounced

The South East

Has the highest proportion of unannounced deals in the country, at 76%

There are several public funds with a particular focus on the North of England and each of the devolved nations, which have an obligation to announce their deals. These funds include Scottish Enterprise, the Development Bank of Wales, Invest Northern Ireland, and Northstar Ventures.

Challenger banks open up

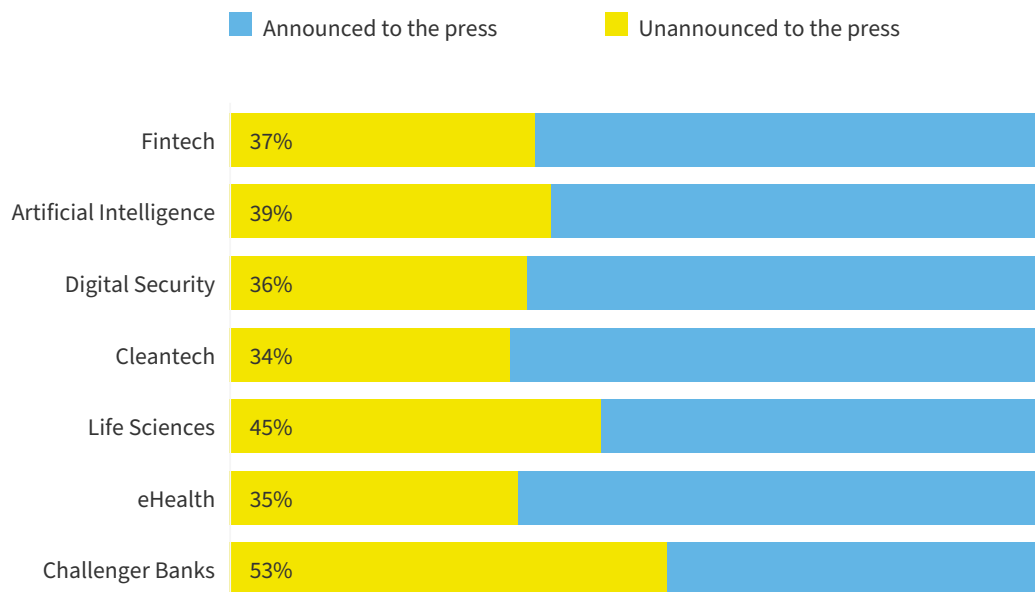
Deals secured by life sciences firms are proving less likely to go unannounced than those in other industries. Whilst unannounced deals make up around 65% of investments into digital security, cleantech, and eHealth companies, just 55% of raises by businesses operating in the life sciences sector are kept quiet.

This figure was even lower in 2020 (51%), perhaps due to the added light thrown on pharmaceuticals and biotech during COVID-19 making it more appealing for businesses in these areas to announce new deals.

Even more notable, however, are challenger banks—only 47% of fundraisings secured by this fintech vertical are unannounced. We suspect this is a reflection of these new banks—such as Monzo, Revolut, OakNorth and Starling Bank—trying to be more ethical and transparent than established firms, sharing information on their investments and shareholders with customers to gain their trust.

These industry disruptors are also frequenters of crowdfunding, whereby they raise equity funding from the pockets of the public. Advertised across various crowdfunding platforms, and often oversubscribed, these round types are also more likely to be picked up by the press, even if the company itself hasn't notified them of the raise.

Proportion of announced deals by selected company sectors



Whose keeping quiet?

Despite the trends, not every unannounced deal in the UK is a small, first-time funding round, with the biggest unannounced fundraising to date being insurance broker Howden Group Holdings' latest £446m round, secured in September 2020. Other large investments that went unannounced include Zopa's £140m raise in March 2020, Arrival's £134m raise in April 2019, and Metro Bank's £126m raise in June 2012.

Meanwhile, many companies never announce their deals to the public. Here are five businesses that have chosen to keep the details of every one of their equity rounds under wraps.

ClearBank

ClearBank aims to rectify the inadequacies of the UK's clearing banks. Its cloud-based platform grants access to the UK clearing system through an API, so payments can be made in real-time. Unlike other challenger banks, ClearBank has kept each of its five equity funding rounds quiet at the time of completion—it's raised £181m in total.

Date founded 2015
Headquarters Bristol
Number of employees 250–499

Roborace

Roborace has developed its own class of motorsport racing, in which all the participating cars are self-driving and electric. This racing class lets brands test out their technology, encourages the development of autonomous software, and introduces a new robotics accolade. With six unannounced rounds under its belt, Roborace has secured £72.7m.

Date founded 2015
Headquarters London
Number of employees 25–49

Quotient Sciences

Quotient Sciences provides accelerated drug development and manufacturing services for the pharmaceuticals industry. Since 2011, Quotient Sciences has raised two equity funding rounds, both of which went unannounced. The latest of these, totalling £90.5m, was secured in October 2019, and took the company's total funds raised to £107m.

Date founded 1990
Headquarters Nottingham
Number of employees 500–999

Constellation AI

Constellation AI develops software aimed at improving AI conversational abilities, for use in customer service centres. To date, the company has raised £70.5m worth of equity investment, across four unannounced funding rounds. Our research indicates the most recent of these was a £62.1m round, secured in January 2021.

Date founded 2016
Headquarters London
Number of employees 25–49

Rekki

Rekki develops software that enables chefs and suppliers to communicate. The free mobile app was designed and created by ex-chefs, ex-suppliers and restaurateurs to support independent restaurants' and the hospitality industry. So far, Rekki has secured £47.3m in six fundraising rounds with the most recent round totalling £20.1m in 2019.

Date founded 2016
Headquarters London
Number of employees 50–99

About Beauhurst

This report is just the beginning.

The Beauhurst platform is the most powerful way to understand the UK's high-growth economy, with comprehensive profiles on over 30,000 fast-growing companies.

This includes all of their transaction history, investors, financials, news features, and key person contact details. And with up-to-the-minute funding stats, sector movements, and geographical maps, you can understand whole markets at a glance.

If your business is UK-focussed and works with high-growth companies, **you need Beauhurst.**

Want access? Sign up for a free demo and we'll help you navigate the platform, allowing you to:

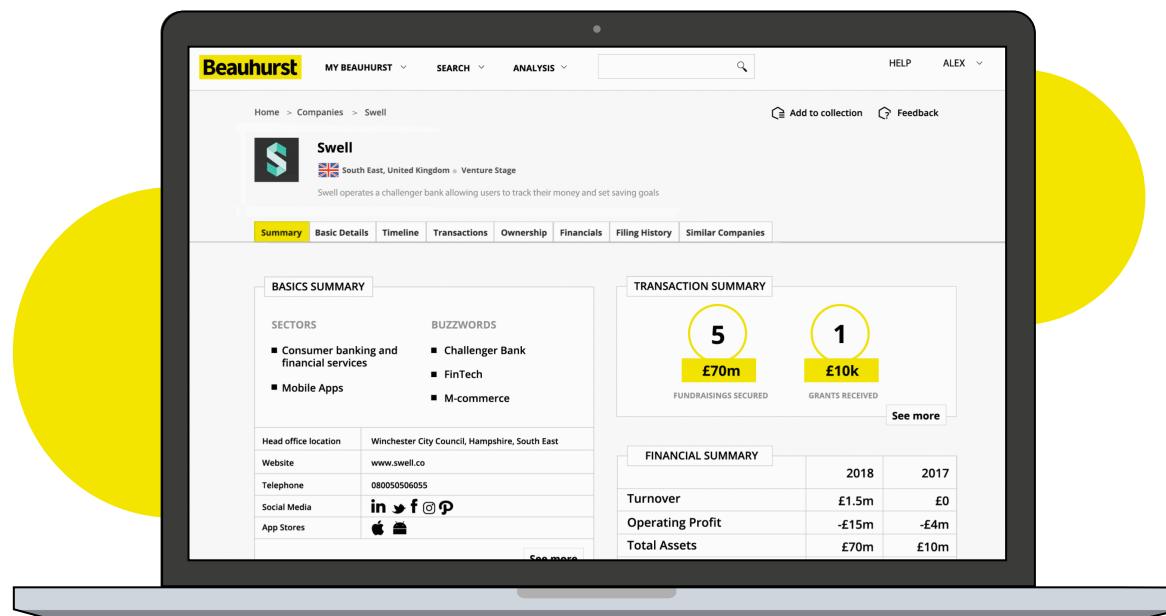
- Search fast-growing companies and their funders
- Explore every UK fundraising (even the 70% of rounds that are unannounced, and not included in this report)
- Build targeted lists of key companies and contacts

Everything will be customised around your business and needs, so you can explore relevant data and get the most out of the platform.

Plus, you'll get a customised report of your findings.

Book a demo here to get started.

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“Having Beauhurst is like having your own extended team doing the data work for you, allowing me to do all the meaningful insights myself so that I can better (and more efficiently) support our community of SMEs. It’s a huge time saver – once set up, deep data analysis that previously would take me weeks now only takes hours”.

Andrew Waterworth, Industry Engagement Manager at the Royal Society of Chemistry